In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, I, exercised professional judgment and maintained professional skepticism throughout the audit, identified and assessed the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements, obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City internal control. Accordingly, no such opinion is expressed, evaluated the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements, and concluded whether, in my judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

I am required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

My audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City basic financial statements. The accompanying nonmajor governmental fund combining statements and statement of general fund departmental revenue and expenditures are presented for the purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In my opinion, the supplementary information described in the second sentence of this paragraph is fairly stated, in all material aspects, in relation to the financial statements as a whole.

Other Information

Management is responsible for the other information included in the financial statements. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. My opinions on the basic financial statements do not cover the other information, and I do not express an opinion or any form of assurance thereon.

In connection with my audit of the basic financial statements, my responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, I conclude that an uncorrected material misstatement of the other information exists, I am required to describe it in my report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, I have also issued our report dated February 8, 2024, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Ric Ortmeier
Certified Public Accountant
February 8, 2024

CITY OF HOOPER, NEBRASKA
STATEMENT OF NET POSITION

SEPTEMBER 30, 2023

	Primary Government		
	Governmental Activities	Business-type Activities	Total (memo only)
ASSETS:			
Cash in bank	$ 417,988	$ 718,222	$ 1,136,210
Cash - restricted	97,221	116,711	213,932
Cash with county treasurer	14,036		14,036
Investments		450,000	450,000
Accounts receivable		37,929	37,929
Special assessments receivable	4,762		4,762
Prepaid insurance		5,524	5,524
Due from other funds		1,427,389	1,427,389
Capital assets, net		1,711,245	1,711,245
Total assets	$ 534,007	$ 4,467,019	$ 5,001,027
LIABILITIES:			
Accrued liabilities		$ 11,973	$ 11,973
Customer deposits		23,175	23,175
Due to other funds	1,375,389	52,000	1,427,389
Bonds payable		1,600,591	1,600,591
Total liabilities	1,375,389	1,687,738	3,063,128
NET POSITION:			
Net investment in capital assets		110,654	110,654
Restricted	107,113	116,711	223,824
Unrestricted	(948,496)	2,551,917	1,603,421
Net position	$ (841,382)	$ 2,779,282	$ 1,937,900

See notes to Financial Statements

CITY OF HOOPER, NEBRASKA
STATEMENT OF ACTIVITIES
GOVERNMENTAL FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2023

FUNCTIONS/PROGRAMS	Disbursements	Charges for Services	Operating Grants and Contributions	Net (Disbursements) Receipts and Changes in Net Position		
				Governmental Activities	Business-type Activities	Total
Primary Government						
Governmental activities:						
General government	$ 136,502		$ -	$ (136,502)		$ (136,502)
Streets	1,660,322			(1,660,322)		(1,660,322)
Public safety	117,587	$ 44,520		(73,067)		(73,067)
Culture and recreation	193,171	4,622	41,189	(147,360)		(147,360)
Public buildings	21,525	23,087		1,562		1,562
TIF	24,333			(24,333)		(24,333)
Debt service	208,274			(208,274)		(208,274)
Transfers to other funds	258,831			(258,831)		(258,831)
Total governmental activities	2,620,547	72,229	41,189	(2,507,128)		(2,507,128)
Business-type activities:						
Water fund	201,826	190,707			$ (11,119)	(11,119)
Sewer fund	156,429	200,355			43,926	43,926
Transfers to other funds	196,870				196,870	196,870
Total business-type activities	555,125	391,062			(164,063)	(164,063)
General revenues:						
Taxes				608,553		608,553
Intergovernmental - state				175,252		175,252
Intergovernmental - county				27,419		27,419
In lieu of taxes				22,648		22,648
Licenses, fees and permits				39,203		39,203
Interest				15,851	1,192	17,042
Bond proceeds				977,800		977,800
Transfer from other funds				193,339	262,362	455,700
Other miscellaneous				126,266		126,266
Total Revenues and Transfers				2,186,330	263,553	2,449,884
Change in Net Position				(320,798)	99,490	(221,308)
Net Position - Beginning of Year				(520,584)	2,679,792	2,159,208
Net Position - End of Year				$ (841,382)	$ 2,779,282	$ 1,937,900

See Notes to Financial Statements

CITY OF HOOPER, NEBRASKA
STATEMENT OF ASSETS, LIABILITIES AND FUND BALANCES -
CASH BASIS - GOVERNMENTAL FUNDS

SEPTEMBER 30, 2023

	General	Bond	Total
ASSETS:			
Cash - unrestricted	$ 417,988		$ 417,988
Cash - restricted	60,039	$ 37,183	97,221
Cash with county treasurer	8,906	5,130	14,036
Special assessments receivable		4,762	4,762
Total assets	$ 486,933	$ 47,074	$ 534,007
LIABILITIES AND FUND BALANCES:			
Liabilities:			
Due to other funds	1,375,389		$ 1,375,389
Total liabilities	1,375,389		1,375,389
Fund balances (deficit):			
Restricted for:			
Debt Service		$ 47,074	47,074
Unemployment	10,605		10,605
Cemetery	9,001		9,001
Police	20,217		20,217
Pool	20,217		20,217
Committed - Keno	21,638		21,638
Unassigned	(970,134)		(970,134)
Total fund balances (deficit)	(888,457)	47,074	(841,382)
Total Liabilities and Fund Balances	$ 486,933	$ 47,074	$ 534,007

See Notes to Financial Statements

CITY OF HOOPER, NEBRASKA
STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGE IN FUND BALANCES -
CASH BASIS - GOVERNMENTAL FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2023

	General	Bond	Total
RECEIPTS:			
Property taxes	$ 256,521	$ 182,348	$ 438,869
Motor vehicle tax	35,640		35,640
City sales tax	134,043		134,043
Intergovernmental - state	175,252		175,252
Intergovernmental - county	15,739	11,680	27,419
Payments in lieu of tax	13,166	9,482	22,648
Charges for services	49,142		49,142
Licenses, fees and permits	39,203		39,203
Rental income	23,087		23,087
Interest	14,754	1,097	15,851
Other miscellaneous	126,266		126,266
Total receipts	882,815	204,606	1,087,421
DISBURSEMENTS:			
General government	136,502		136,502
Streets	1,660,322		1,660,322
Public safety	117,587		117,587
Culture and recreation	193,171		193,171
Public buildings	21,525		21,525
TIF	24,333		24,333
Total disbursements	2,153,441	-	2,153,441
Excess of receipts over (under) disbursements	(1,270,626)	204,606	(1,066,020)
OTHER FINANCING SOURCES (USES):			
Grants and donations	41,189		41,189
Debt service		(208,274)	(208,274)
Bond proceeds	977,800		977,800
Transfers to other funds	0	(258,831)	(258,831)
Transfers from other funds	193,339	0	193,339
Total other financing sources (uses)	1,212,328	(467,106)	745,222
NET CHANGE IN FUND BALANCES	(58,299)	(262,499)	(320,798)
FUND BALANCE (DEFICIT) BEGINNING OF YEAR	(830,158)	309,573	(520,584)
FUND BALANCE (DEFICIT) END OF YEAR	$ (888,457)	$ 47,074	$ (841,382)

See Notes to Financial Statements

CITY OF HOOPER, NEBRASKA
STATEMENT OF NET ASSETS
PROPRIETARY FUNDS

SEPTEMBER 30, 2023

	Water	Sewer	Nursing Home	Total
ASSETS				
Current Assets:				
Cash - unrestricted	$ 173,642	$ 212,883	$ 331,696	$ 718,222
Cash - restricted	15,495	101,215		116,711
Investments	225,000	225,000		450,000
Accounts receivable	19,225	18,703		37,929
Due from other funds	352,000	241,476	$ 833,913	1,427,389
Prepaid insurance	2,891	2,633		5,524
Total current assets	788,254	801,911	1,165,610	2,755,775
Noncurrent Assets:				
Land	30,500	98,356		128,856
Water and sewer system	2,352,147	1,987,106		4,339,253
Less accumulated depreciation	(1,275,831)	(1,481,033)		(2,756,865)
Total non-current assets	1,106,816	604,429	0	1,711,245
Total Assets	$ 1,895,069	$ 1,406,340	$ 1,165,610	$ 4,467,019
LIABILITIES				
Current Liabilities:				
Sales tax payable		$ 1,109		$ 1,109
Accounts payable	$ 944	87		1,031
Accrued interest payable	541	9,291		9,832
Due to other funds		52,000		52,000
Customer deposits	15,495	7,680		23,175
Bonds payable - current portion	82,465	130,000		212,465
Total current liabilities	99,446	200,167	$ -	299,613
Noncurrent Liabilities:				
Bonds payable - net of current portion	518,126	870,000		1,388,126
Total long-term liabilities	518,126	870,000	-	1,388,126
Total Liabilities	617,571	1,070,167	-	1,687,738
NET POSITION				
Net investment in capital assets	506,225	(395,571)		110,654
Restricted	15,495	101,215		116,711
Unrestricted	755,778	630,529	1,165,610	2,551,917
Net Position	1,277,498	336,174	1,165,610	2,779,282
Total Liabilities and Net Position	$ 1,895,070	$ 1,406,341	$ 1,165,610	$ 4,467,020

See Notes to Financial Statements

CITY OF HOOPER, NEBRASKA
STATEMENT OF REVENUES, EXPENSES AND CHANGE IN NET POSITION - PROPRIETARY FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Water	Sewer	Nursing Home	Total
Operating Revenues:				
Utility sales	$ 190,707	$ 200,355		$ 391,062
Total operating revenues	190,707	200,355	$ -	391,062
Operating Expenses:				
Salaries and benefits	52,451	24,609		77,060
Maintenance	24,244	7,159		31,403
Supplies	7,749	1,473		9,223
Insurance	2,854	3,109		5,963
Utilities and telephone	8,242	5,770		14,011
Professional fees	4,140	2,358		6,497
Bad debts	1,062	1,199		2,261
Depreciation and amortization	69,774	76,274		146,048
Meetings and travel	-	77		77
Miscellaneous	16,812	2,325		19,137
Total operating expenses	187,327	124,354	-	311,681
Operating income (loss)	3,380	76,001	-	79,381
Non-Operating Revenues and (Expenses):				
Interest income		1,192		1,192
Interest expense	(14,499)	(32,075)		(46,574)
Transfers to other funds	(196,870)	0	0	(196,870)
Transfers from other funds	96,756	165,605		262,362
Total non-operating revenues and (expenses)	(114,613)	134,722	-	20,109
Change in Net Position	(111,233)	210,723	-	99,490
Net Position - Beginning of Year	1,388,731	125,451	1,165,610	2,679,792
Net Position - End of Year	$ 1,277,498	$ 336,174	$ 1,165,610	$ 2,779,282

See Notes to Financial Statements

CITY OF HOOPER, NEBRASKA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Water	Sewer	Nursing Home	Total
Cash flows from operating activities:				
Net operating income (loss)	$ 3,380	$ 76,001		$ 79,381
Adjustments to reconcile net operating income (loss) to net cash from (used in) operating activities:				
Depreciation and amortization	69,774	76,274		146,048
Changes in assets and liabilities:				
(In)decrease in accounts receivable	(441)	(748)		(1,190)
(In)decrease in prepaid insurance	0	0		0
Changes in interfund balances	-	-		-
In(de)crease in sales tax payable	0	22		22
In(de)crease in accounts payable	(584)	(317)		(901)
In(de)crease in accrued interest payable	207	-		207
In(de)crease in customer deposits	1,208	913		2,121
Net cash from (used in) operating activities	73,544	152,145	$ -	225,689
Cash flows from capital financing sources:				
Principal paid on long-term debt	142,536	(130,000)		12,536
Capital asset purchases	0	(46,859)		(46,859)
Transfers	(100,114)	165,605		65,491
Interest expense	(14,499)	(32,075)		(46,574)
Net cash used in capital financing sources	27,923	(43,329)	-	(15,406)
Cash flows from investing activities:				
Interest on investments		1,192		1,192
Net cash from investing activities	-	1,192	-	1,192
Change in cash	101,467	110,007	-	211,474
Cash - Beginning of Year	87,670	204,091	331,696	623,457
Cash - End of Year	$ 189,137	$ 314,098	$ 331,696	$ 834,931

See Notes to Financial Statements

CITY OF HOOPER
SCHEDULE OF RECEIPTS, DISBURSEMENTS AND CHANGE IN FUND BALANCE - CASH BASIS - BUDGET AND ACTUAL
GENERAL FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Budget Final	Actual
RECEIPTS:		
Property taxes	$ 266,704	$ 256,521
Motor vehicle tax	34,500	35,640
City sales tax	120,000	134,043
Intergovernmental - state	169,807	175,252
Intergovernmental - county	17,750	15,739
Payments in lieu of tax	15,150	13,166
Police contract	36,000	40,000
Pool receipts	3,800	4,616
Cemetery receipts		4,520
Licenses and permits	16,150	39,203
Rents and refunds		23,087
Interest	2,050	14,754
Other miscellaneous	15,600	102,938
Transfers		216,673
Bond proceeds	990,000	977,800
Grants and donations	1,000	41,189
Total receipts	1,688,511	2,095,142
DISBURSEMENTS:		
General	164,500	136,502
Public safety	154,035	116,419
Public works	1,300,177	331,395
Culture and recreation	175,915	1,569,125
Transfers	0	0
Total disbursements	1,794,627	2,153,441
CHANGE IN FUND BALANCE	$ (106,116)	(58,299)
FUND BALANCE (DEFICIT) BEGINNING OF YEAR		(830,158)
FUND BALANCE (DEFICIT) END OF YEAR		$ (888,457)

CITY OF HOOPER
SCHEDULE OF RECEIPTS, DISBURSEMENTS AND CHANGE IN FUND BALANCE - CASH BASIS - BUDGET AND ACTUAL
BOND FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Budget Final	Actual
RECEIPTS:		
Property taxes	$ 200,918	182,348
Intergovernmental - county	12,500	11,680
In lieu of taxes	7,500	9,482
Interest		1,097
Transfer from other funds		0
Total receipts	220,918	204,606
DISBURSEMENTS:		
Debt service - principal	225,000	162,536
Debt service - interest	55,420	45,399
Other		340
Transfers to other funds		258,831
Total disbursements	280,420	467,106
CHANGE IN FUND BALANCE	$ (59,502)	(262,499)
FUND BALANCE BEGINNING OF YEAR		309,573
FUND BALANCE END OF YEAR		$ 47,074

CITY OF HOOPER
SCHEDULE OF RECEIPTS, DISBURSEMENTS AND CHANGE IN FUND BALANCE - CASH BASIS - BUDGET AND ACTUAL PROPRIETARY FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Budget Final	Actual (Budgetary Basis)
RECEIPTS:		
Utility sales	$ 401,000	$ 389,872
Transfers from other funds		262,362
Bond proceeds	$ 225,000	-
Interest income		1,192
Total receipts	626,000	653,426
DISBURSEMENTS:		
Personnel expenses	113,770	77,060
Operating expenses	285,980	134,190
Debt service	-	33,831
Transfers to other funds	-	196,870
Total disbursements	399,750	441,951
NET CHANGE IN FUND BALANCE	$ 226,250	$ 211,474

CITY OF HOOPER, NEBRASKA
COMBINING SCHEDULE OF RECEIPTS, DISBURSEMENTS AND CHANGES
IN FUND BALANCE - CASH BASIS
GENERAL FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2023

	General	Police	Street	Pool	Park	Audi-torium	Library	Cemetery	Keno	TIF	Unemploy-ment	Total
RECEIPTS:												
Property taxes	$ 241,935		$ 14,586									$ 256,521
Motor vehicle tax	26,434		9,207									35,640
City sales tax	134,043											134,043
Intergovernmental - state	39,081		136,171									175,252
Intergovernmental - county	14,703		1,036									15,739
Payments in lieu of tax	13,022		144									13,166
Charges for services		$ 40,000		$ 4,616	$ 6			$ 4,520				49,142
Licenses, fees and permits	36,217	2,986										39,203
Rental income						$ 23,087						23,087
Interest	14,202	$ 217		$ 217							$ 118	14,754
Other miscellaneous	12,943	1,811								$ 88,178		102,932
Total receipts	532,580	45,014	161,143	4,833	$ 6	23,087	$ -	4,520	$ -	88,178	118	859,481
DISBURSEMENTS:												
Salaries	63,398	72,832	83,256	30,203	13,138	284	18,548	10,273				291,932
Employee benefits	7,197	11,052	34,618	2,704	1,859	174	1,454	1,209				60,267
General insurance	16,663	6,514	11,574	0	3,423	2,279	1,100	539				42,093
Professional fees	16,236	2,262	102,305				95			23,759		144,657
Utilities and telephone	3,447	1,381	34,307	2,158	5,619	7,058	3,438					57,408
Supplies	7,507	7,269	21,799	11,211	2,908	570	2,285	1,590				55,140
Maintenance	158	43	39,373	72,241	1,306	11,160						124,281
Capital purchases		1,168	1,328,927	2,498	10,000	0		0		574		1,343,167
Books, magazines etc.							3,988					3,988
Printing and publications	985		9									994
Annual fees, travel and education	20,589	441		1,585			500					23,115
Other miscellaneous	322	1,014	4,153	909			0					6,399
Total disbursements	136,502	103,975	1,660,322	123,510	38,253	21,525	31,408	13,612	-	24,333	-	2,153,441
EXCESS RECEIPTS OVER (UNDER) DISBURSEMENTS	396,078	(58,961)	(1,499,179)	(118,676)	(38,247)	1,562	(31,408)	(9,092)	-	63,845	118	(1,293,960)
OTHER FINANCING SOURCES (USES):												
Transfer from other funds	216,673									0		216,673
Transfer to other funds										0		-
Bond proceeds			977,800									977,800
Grants and donations				20,000	10,000		11,189					41,189
NET CHANGES IN FUND BALANCE	$ 612,751	$ (58,961)	$ (521,379)	$ (98,676)	$ (28,247)	$ 1,562	$ (20,219)	$ (9,092)	$ -	$ 63,845	$ 118	$ (58,299)